

*“We used AI on [really important process]
and saved [a large number of] hours.”*

What did you do with the hours you saved?

ENTERPRISE AI SUMMIT · 2026

AI-Driven Organizational Value

***Why** AI output is soaring while business outcomes stay flat, and what to measure instead.*

***Where** the value actually lives.*

***What** to do about it.*

THE PARADOX

**The AI age is everywhere.
Except in the P&L.**

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MCKINSEY · STATE OF AI 2025

39%

report any EBIT impact from AI at all. For most of them, it's under 5%.

MIT · THE GENAI DIVIDE 2025

95%

of enterprise GenAI pilots show no measurable P&L return, despite \$30–40B spent.

GARTNER / FORTUNE · MAY 2026

80%

of surveyed \$1B+ companies piloting or deploying autonomous AI cut jobs. Rates near-identical across return levels.

“I can see the value; I can feel the value. I just don't have the number.”

— senior leader, Fortune 100 financial services firm

WHY WE MISMEASURE

Measuring capability is comfortable.
**Measuring whether it moved the
business isn't.**

WHY WE MISMEASURE

Measuring capability is comfortable. Measuring whether it moved the business isn't.

Lead with the result. Judge each capability by the outcome it moves.

MICHAEL HAMMER · MIT SLOAN
MGMT REVIEW

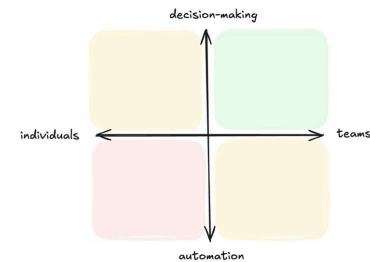
*The Seven Deadly Sins of
Performance Measurement*

Named two decades ago. AI
hands us new ways to commit
every sin.

*“Stop scorecarding your
progress against the roadmap.
Start scorecarding whether you
actually moved sales.”*

— Paul Gaffney

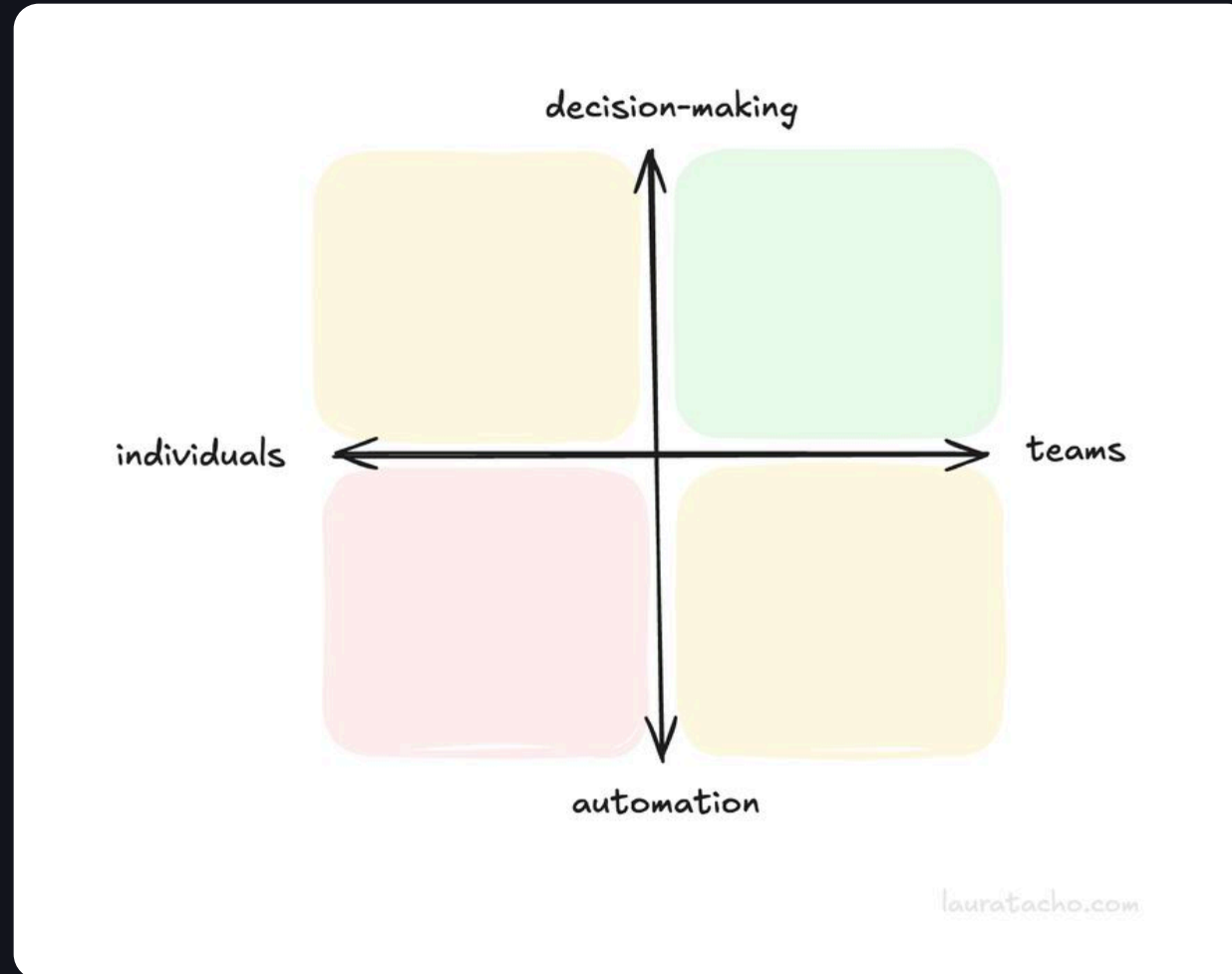
THE SHIFT · LAURA TACHO



We measure bottom-left. The value is top-right.

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WHERE THE VALUE LIVES

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Freed capacity is latent value. What you choose to do with it is the return.

FORTUNE 100 MEDIA COMPANY

8 mo → 7 wks

An eight-month build shipped in seven weeks. Same team, same budget, freed months early for next year's priorities.

Freed capacity → a capital transfer

IKEA · FY22 REMOTE SALES

€1.3B

Billie resolved ~47% of inquiries. 8,500 reps reskilled into remote design and sales.

Freed capacity → redeployed

GLOBAL SPORTSWEAR COMPANY

cost → bets

Took cost out with AI, then redeployed the savings into projects it couldn't otherwise fund.

Freed capacity → new strategic bets

WHERE THE VALUE LIVES

AI value is a capital-allocation choice.

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AI value is a **capital-allocation choice**.

Freed capacity can go three places. Harvesting by default is the trap.

OPTION 01

Harvest

Take capacity out as cost: roles, hiring, vendors. Hits the income statement now, which is why it's the default.

EFFICIENCY DECISION · NEAR-TERM

OPTION 02

Learning

Give the time back: fluency, redesigned workflows, experiments that were too expensive before.

CAPABILITY DECISION · LEARNING VELOCITY

OPTION 03

Growth

Fund what you couldn't afford: a product pulled forward, a bet trapped behind old limits.

OPTION DECISION · LONGER HORIZON

Harvesting by default can backfire. Klarna harvested first (~700 agents' work, 2024), then put humans back when quality fell. It reconsidered the allocation.

WHERE THE VALUE LIVES

Everyone is a **builder** now.

WHERE THE VALUE LIVES

Everyone is a **builder** now.

When everyone builds, the options you can explore multiply.

WHO GOES AI-NATIVE FIRST

The builders aren't only the engineers.

The first AI-native builders are often in marketing, HR, finance, and ops.

FORTUNE 100 FINANCIAL SERVICES CO.

~115

non-engineering use cases registered, including legal. Engineering shifts to hardening.

"No vendor can give it to me. No engineer can actually build it for me because they don't talk to me. So I build it."

— a procurement employee (excerpt)

What you can build is now unlimited. What you should build isn't.

THE CATCH

**Scarcity used to say “no” for you. Now
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Releases up ~80%. Usage flat. Review quality down.

FT · John Burn-Murdoch, citing Demirer et al. 2026

“Backlog zero” is a trap, not a goal.

Judgment is now the scarce resource. One cloud provider found ~43 internal apps doing the same job.

AI GOVERNANCE

ENTERPRISE TECH LEADERSHIP SUMMIT

Who we are and what we've been doing

Brian Scott Dan Neff

Principal Cloud Architect
Adobe → Tech Services → Cloud Operations
Decades of operations experience (yay, Disney & Friendster!)
Lead tech onboarding for Dev/Eng tools, Open Source

Based on onboarding experience with finance, legal, security we were appointed ownership of company-wide AI intake in addition to existing responsibilities.
Created process that required no dedicated staff for first year of operation. (currently 1 full-time employee)

#discussion-arena-hallroom stage SYNC

Props to @Brian Scott recognizing Dan Neff as a partner in progress even though he wasn't able to make it. ❤️

David Douglas
Homestar and Strongbad! Very yes!

Charlie Lindberg
Macromedia Flash was the peak of the Internet. The glory days are behind us.

Gene Kim, ITREK Program Chair
Adobe: among many things, the creator of the PDF

IT REVOLUTION #ITREVOLUTION #ETLS24 @ITREVSUMMIT LAS VEGAS

The talk: Brian Scott, Adobe · ETLS Las Vegas 2024

THE CATCH

A **10×** function inside a 1× business is
just a faster **bottleneck**.

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THE SYMPTOM

10× → **stall**

A bank's engineering org got up to ~10× faster on some work, then stalled. The business couldn't absorb it.

WHERE THE BOTTLENECK MOVES

It doesn't vanish. It relocates.

- deciding what's worth doing
- validation / UAT
- operate & run
- customer adoption

GO DEEPER

The bottleneck isn't typing code. It's the system's ability to **safely absorb the speed**.

COMPANION PAPER · FALL 2026
ETLJ

"When Coding Is Free, Where Is the Bottleneck?"

Widen the **whole pipe**, not just the part that got cheap.

HOW TO ACT

Getting value from AI is a journey.

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Getting value from AI is a **journey**.



Each phase leads with one pillar, but **all three stay on the scorecard throughout**. A productivity metric earns its place only when paired with the outcome it should move.

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Stop measuring “AI.” Measure the business outcomes it moves.

GO NARROW

One workflow. Clean baseline.
Honest accounting: **unchanged, dropped, added.**

Amazon Java upgrades: average 50 developer-days per app → hours; 30,000+ apps; estimated ~\$260M a year.

MEASURE WHAT AI MOVES

Three shapes:

- multiples of the outcome
- same outcome, faster or cheaper
- the previously impossible

“Progress is measured in the currency of impact.”

— a senior executive, Fortune 500 software company

A defensible million beats an indefensible billion.

HOW TO ACT

**The dip is not necessarily failure. Fund
the dip. Read the sky.**

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The dip is not necessarily failure. **Fund the dip. Read the sky.**

18–36 mo

The paper's estimate from adoption to measurable results. Long horizon for outcomes, short cadence for evidence.

A productive dip passes four tests

- 1 The need is still real.
- 2 Conditions are moving the right way.
- 3 Assets are accumulating.
- 4 Exposure stays bounded.

THE PRODUCTIVITY J-CURVE · BRYNJOLFSSON, ROCK & SYVERSON

Performance can flatten or fall before it climbs: visible resources are building invisible assets. The curve turns when the pieces work together.

HOW TO ACT

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business case yet, only a believer.**

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The most valuable work has no business case yet, only a **believer**.

By the time the spreadsheet agrees, the advantage already belongs to whoever had the conviction to fund it first.

Instrumented conviction. Conviction without instrumentation is gambling. Instrumentation without conviction is paralysis.

Supportive leaders fund the dip and demand evidence.

Numb leaders wait for the number.

Hostile leaders demand the wrong proof at the wrong time.

“It isn't going to show material deltas on your line items out of the gate. Leadership has to give air cover for the short duration.”

— an executive interviewed for the paper

We can feel the value.
Now we know where to find it.

Measure what matters, when it matters. Fund the dip.
Back the believer. Stay for the proof.

The paper's authors

Betty Junod

Brian Scott

Jason Cox

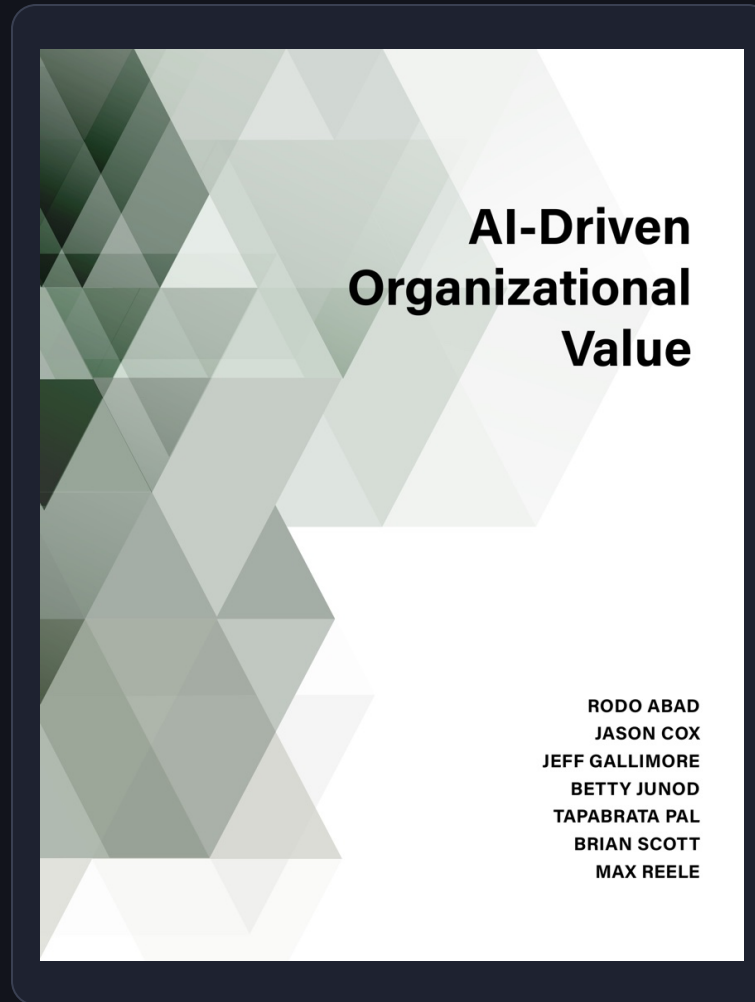
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Rodo Abad

Topo Pal

The authors thank all who contributed their time, experience, and insights to this work.



HELP WE'RE LOOKING FOR

Help shape **the book.**

We're considering turning this into a book. Tell us what resonates, what's missing, and where you want us to go deeper. Share your stories with us.

forms.gle/pxs82pNGMTRQvguP7

